Gaming

FY25 Lotteries Preview

The Lottery Corporation (Downgrade to Neutral, $5.16/sh valuation)

Reporting Date: Wednesday 20th August, 10:30am AEST (Link)

TLC had a reversal of fortune in FY25 following a very favourable FY24 that generated record revenue. Powerball was the primary driver of bad luck, with our Monte Carlo simulator estimating sales to be in the 6th percentile of theoretical outcomes. Oz Lotto had a favorable year, but was unable to offset the weakness in Powerball given its smaller scale. We currently sit marginally below consensus for FY25, but overall don't expect any major surprises on the result day given the available market data and guidance for other metrics.

We currently sit below consensus for FY26. This is due to our estimates factoring in a combination of slightly weaker underlying demand for the overall portfolio (which we measure through like-for-like jackpot entries) and the need to decelerate the Powerball sequence relative to FY25. Given the strong share price movements of late, and the fact that we are downgrading our numbers for FY26 / sit below consensus, we have chosen to downgrade our recommendation to Neutral. We do this whilst reiterating that we have no major structural concerns with the business and the decision is more to do with the share price approaching record highs.

Jumbo Interactive (Positive, $14.40/sh valuation)

Reporting Date: Tuesday 26th August

Jumbo's result will naturally be highly correlated to TLC, with some variations for digital penetration, market share, and their other segments. The key watch will be their market share figure, which took a significant hit at the 1H25 result. Management stated that since December they have altered their marketing to focus on reactivating their large customer base (currently around 25% of their 4 million customers are active). We believe that Jumbo may have regained some market share, but we also expect them to report materially higher marketing expenses.

Other key topics heading into the FY25 results include:

- Forward-looking consumer demand, which we typically measure by like-for-like jackpot (LFL) entries.
- Digital penetration & the increasing competition for ad space.
- The impact of alternative lottery-like products such as Foreign Matched Lotteries (see here) & Online Keno (both subject to an ongoing federal review), and the fast-growing Rewards Clubs (focused on trade promotion giveaways) which featured in our Jumbo Initiation.
- TLC's opex run-rate post fully completing the demerger technology separation.
- The potential early extension of the Victorian Lottery Licence (set to expire in 2028). See our deep dive here.
- Various Jumbo initiatives - Scaling up of Daily Winners, M&A strategy pivot from B2B to B2C opportunities, & LotteryWest RFP.

Sam Bradshaw sam.bradshaw@eandp.com.au +61 3 9235 9706
Paul Mason paul.mason@eandp.com.au +61 3 9631 9867

Table of Contents

- Powerball (pg.3)
- Oz Lotto (pg.7)
- Saturday Lotto (pg.10)
- Weekday Windfall (pg.12)
- Long Term Trends (pg.13)
- Turnover Estimates by Game (pg.15)
- Foreign Matched Lotteries (pg.16)
- Charity Lotteries (pg.17)
- Changes to Forecasts and Valuations (pg.19)
- Our Forecasts vs Consensus (pg.20)

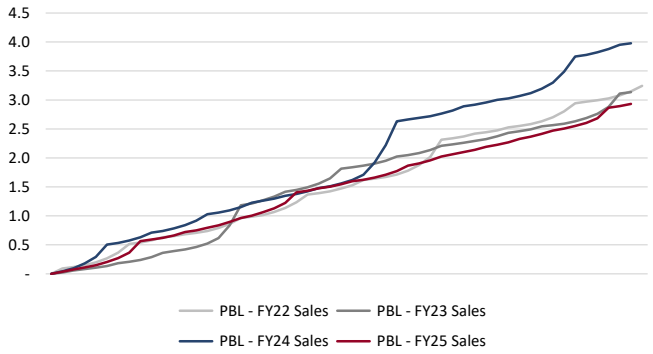
Powerball

FY25 Performance

Powerball had a poor FY25, generating its lowest sales since FY21. The result was driven by a very unfavourable jackpot sequence, corresponding to a -25.9% yoy decline in turnover. This was a reversal of fortune from FY24, which saw favourable jackpots, highlighted by the record $200m jackpot.

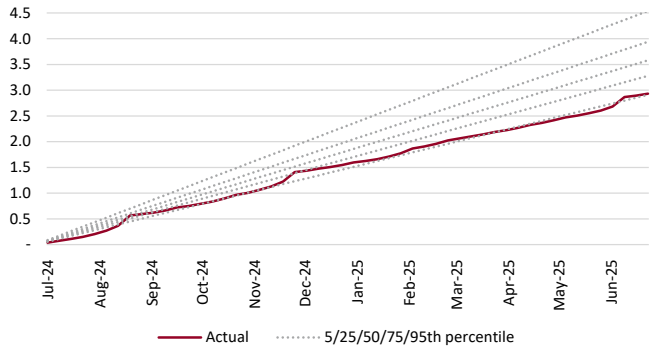
Using our Monte Carlo simulator (first introduced in burger with The Lott), we estimate that Powerball sales were in the 6th percentile. This may seem excessively low when you observe FY25 sales to be only marginally below FY23 & FY22. However, we estimate that FY25 had considerably higher theoretical outcomes, due to a combination of an accelerated jackpot sequence and the Powerball game change in May-23. We describe both of these below.

Exhibit 1 - Cumulative Powerball Sales (A$bn, y-axis) by week in year (x-axis) - YTD



Source: Company Data, E&P Estimates. Note: Includes WA

Exhibit 2 - Powerball Sales (A$bn, FY25) relative to Monte Carlo Simulation Percentiles



Source: Company Data, E&P Estimates. Note: Includes WA.

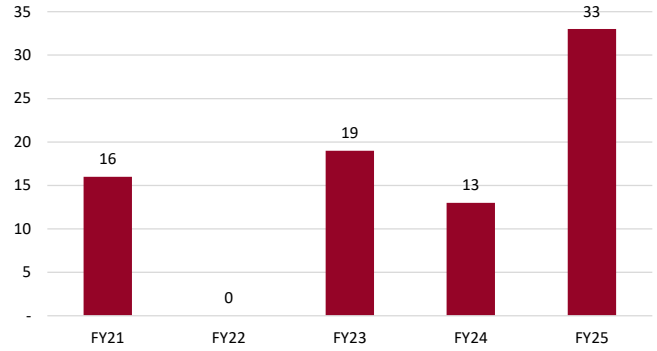
Sequence Acceleration / Prize Reserve Fund

Powerball has both a base sequence and an accelerated sequence that have been fairly consistent over the past 5-years.

- Throughout FY25, the base sequence was $4m, $12m, $20m, $40m, $60m, $100m, etc.
- The accelerated sequence was $10m, $20m, $30m, $50m, $100m, etc.

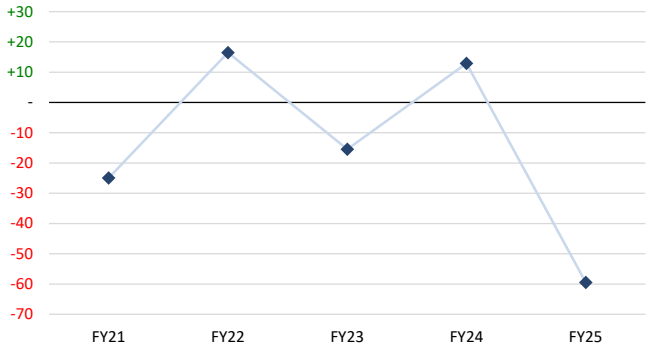
In FY25, Powerball used the accelerated sequence for 33/52 weeks, far more than any of the previous four years. Acceleration is good for achieving higher theoretical sales outcomes, because you increase the probability of reaching larger jackpots throughout the year. However, acceleration usually depletes the prize reserve fund. This is because there are typically not enough entries throughout the sequence to support the advertised division-one jackpot (see burger with The Lott). Thus, the prize reserve fund in FY25 depleted more than in any of the previous four years.

Exhibit 3 - Number of Weeks using the Accelerated Powerball Sequence



Source: Company Data, E&P Estimates

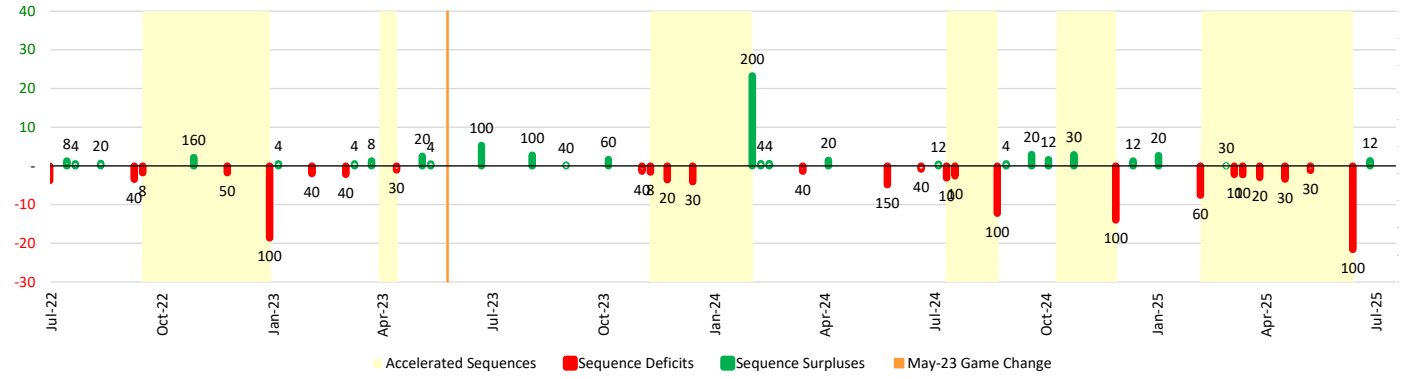
Exhibit 4 - Powerball Net Prize Reserve Fund Accumulation (A$m)



Source: Company Data, E&P Estimates. Note: Includes WA.

Below, we demonstrate the accumulation/depletion of the prize reserve fund for each sequence over the past three years. The majority of base sequences have resulted in net sequence prize fund accumulation. On the contrary, only 4/21 accelerated sequences have resulted in a net accumulation. These include the two largest jackpots ($160m & $200m), plus two recent $30m jackpots.

Exhibit 5 - Powerball Net Sequence Prize Reserve Fund Accumulation (A$m) - jackpot as label (A$m)



Source: Company Data, E&P Estimates. Note: Includes WA

Like-for-Like Jackpot Entries

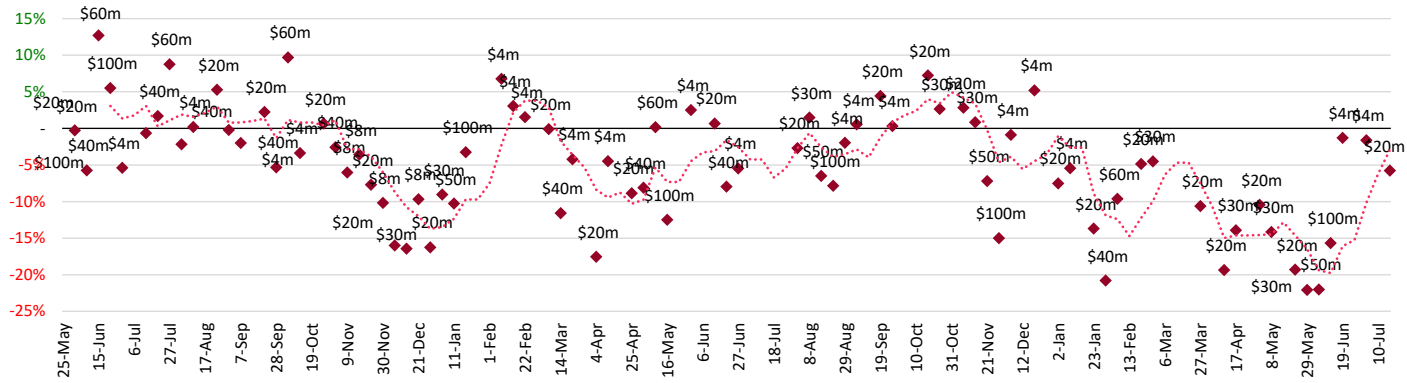
The other key driver to look at when evaluating the performance of Powerball is the underlying demand represented by like-for-like jackpot entries. Below is a chart that we previously introduced to explore the impact of the May-23 game change (10c price increase), but now use to explore short-medium term consumer behavior.

- Initially, LFL entries appeared to remain robust to the price increase, with no evidence of consumer resistance.
- However, in late October-23, LFL entries began to deteriorate relative to their pre-game-change levels.
- LFL entries then saw a remarkable recovery in Feb-24 following the record $200m draw before declining again.

- Since then, LFL entries have been volatile, but overall weaker in 2H25, particularly in April & May. This lull could be driven by an extended accelerated sequence or cannibalisation from Oz Lotto, which achieved back-to-back $70m jackpots in April/June.

In the short term, declining like-for-like jackpot entries decrease the probability of the jackpot going off, which actually increases the probability of larger jackpots. However, over the long run, this is not enough to offset the reduction in weekly sales and the negative impact on the prize reserve fund, which in turn will result in slower sequences.

Exhibit 6 - Change in Powerball Like-for-Like Jackpot Entries post May-23 game change vs. the 12 months pre gamechange



Source: Company Data, E&P Estimates. Note: excludes jackpots with fewer than three data points in the prior period. Comments are like-for-like jackpot size.

Monte Carlo Simulation Backtesting

Below we have back-tested prior years of Powerball to compare the actual sales against the theoretical outcomes. The objective is to identify how much of an impact jackpot randomness had on a given result and determine the appropriate baseline for future projections.

The lines in the chart below represent the theoretical outcomes for each given year, with the actual result as the marker. In order to increase sales, TLC needs either one of two things;

1. Luck/Favourable Draws - This will move the marker up along the line

- We note that jackpot outcomes are completely random and each year/week is independent of the prior year/week's result.

2. Improved Simulation Parameters - These will shift the entire line upwards.

Numerous factors go into determining these simulation parameters, including:

- Weeks in period,
- Starting jackpot,
- Game changes,
- Sequence impacts (acceleration),
- Like-for-like jackpot entries, and
- The prize reserve fund.

Factors such as the starting jackpot are short-term metrics, whilst LFL entries are more underlying factors reflective of the true strength of Powerball.

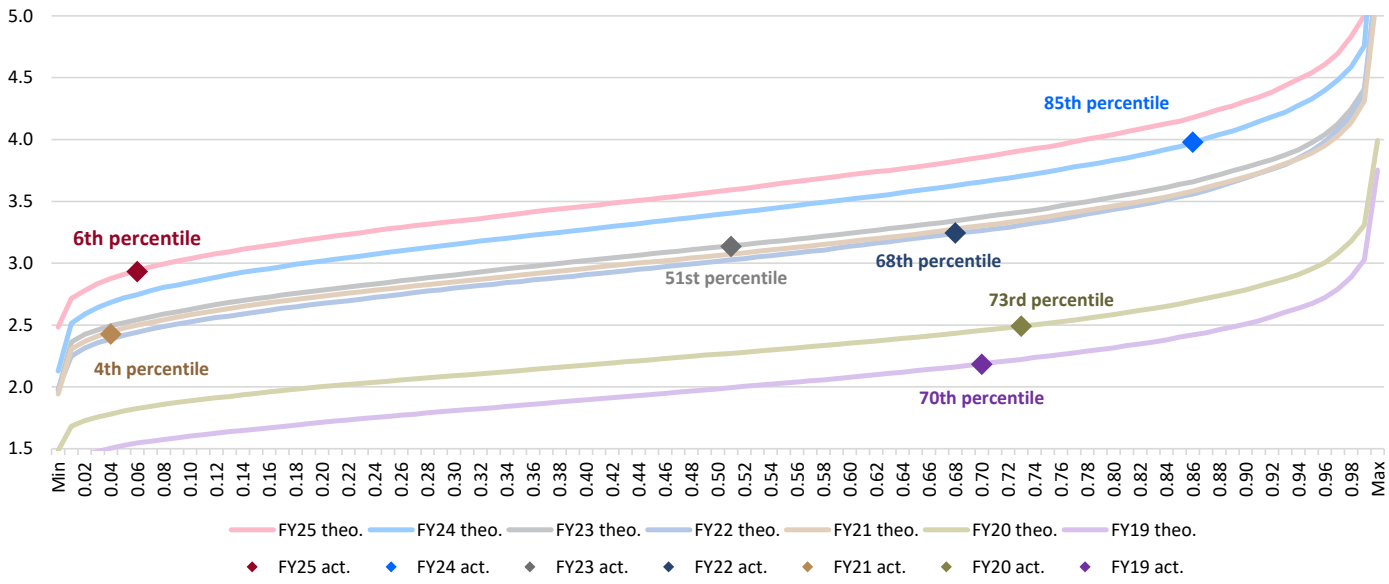
Below we can observe that the theoretical outcomes significantly increased post COVID as the lines moved higher, before plateauing from FY21-FY23. We can also see that despite significant growth in the theoretical outcome in FY21, its sales declined by -2.6% vs. FY20 due to a 4th percentile outcome. Similarly, FY23's decline vs. FY22 was a function of favorable jackpot outcomes in FY22, rather than a decline in theoretical outcomes.

In FY24. Powerball was able to offset lower LFL entries than the prior three years, with the game change, resulting in higher theoretical outcomes. This was the reason we had previously forecast record Powerball sales for FY24 (see Powerball or Bust). However, the cherry on top for TLC was the favorable jackpot outcomes, which we estimate were in the 86th percentile.

As we previously mentioned, FY25 used the accelerated sequence the most, hence why we estimate the theoretical outcomes to be a record high for Powerball. However, due to the bad luck, we estimate Powerball to have only been in the 6th percentile.

Going forward, our methodology for forward estimates is a reversion to the 50th percentile outcome (i.e., the Luck/Favourable Draws aspect), which would imply a +22.1% upward reversion in FY26. However, we expect this to be partially offset by much less sequence acceleration, due to a depleted prize reserve fund (i.e., Simulation Parameters) and slightly lower LFL entries. Hence, our estimates for FY26E are for +6.0% yoy growth.

Exhibit 7 - Powerball Monte Carlo Simulation Backtesting - Sales (A$m, y-axis), percentile outcome (#, x-axis)



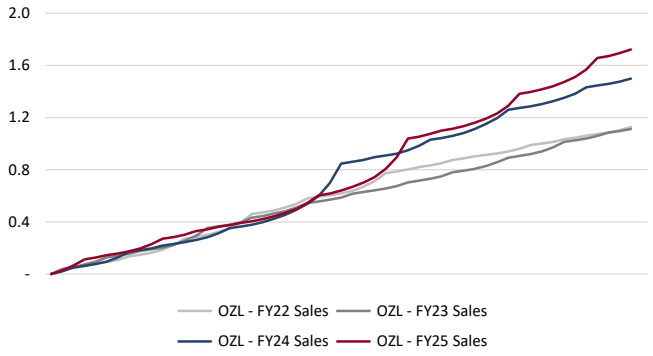
Source: Company Data, E&P Estimates. Note Includes WA.

Oz Lotto

FY25 Performance

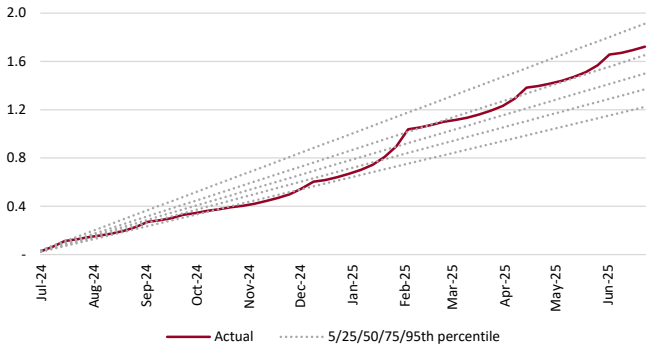
Oz Lotto achieved record sales in FY25, +14.9% above FY24 which was the previous record. This was driven by favourable jackpots, as we estimate that Oz Lotto finished in the 82nd percentile relative to theoretical outcomes. The highlight was the $100m draw in February, the equal largest in history for the game, with the other $100m draw occurring in 2012.

Exhibit 8 - Cumulative Oz Lotto Sales (A$bn, y-axis) by week in year (x-axis) - YTD



Source: Company data, E&P Estimates. Note: Includes WA

Exhibit 9 - Oz Lotto Sales (A$bn, FY24) relative to Monte Carlo Simulation Percentiles

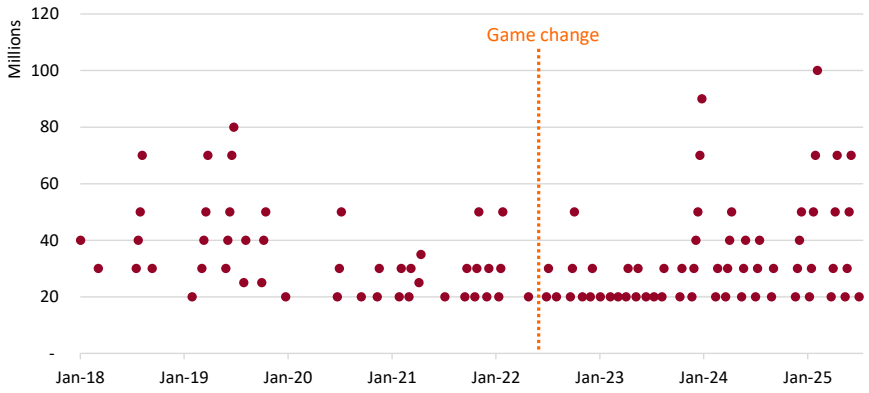


Source: Source: Company Data, E&P Estimates. Note: Includes WA

Following a favourable FY19 that included 4x $70m/$80m jackpots, Oz Lotto failed to get past $50m from Jun-19 to Dec-23. This was despite a game change in May-22, which lengthened the odds of a division-one winner by 38.6%.

FY23 was particularly unlucky, with thirteen overall sequences but only one jackpot of $50m or greater. This was despite each sequence having a 27.6% chance to reach $50m. Furthermore, six out of the ten $20m jackpots went off despite only a 28.4% chance to do so, and four out of five $30m jackpots went off despite only a 34.3% chance (both odds are for the individual draws).

Exhibit 10 - Oz Lotto Jackpots >= $20m

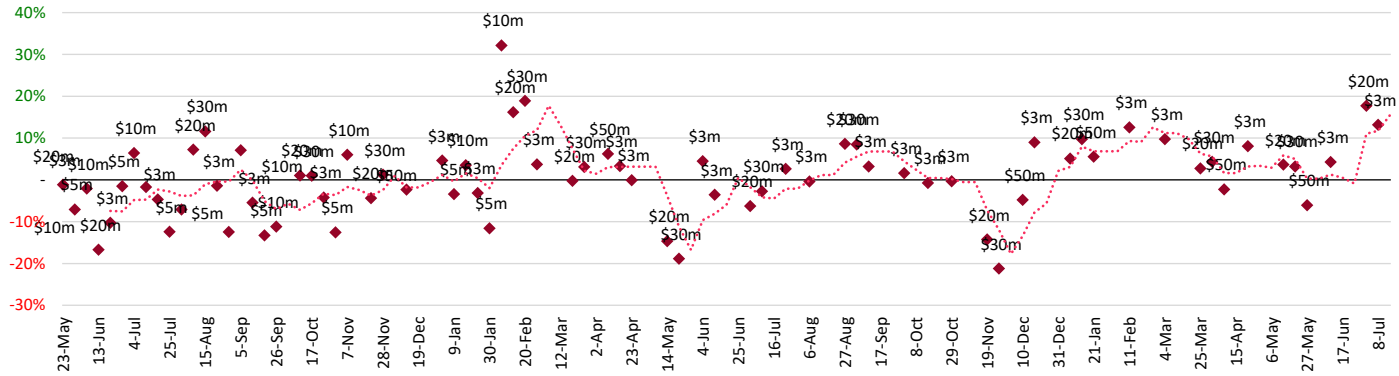


Source: Company Data, E&P Estimates

Like-for-Like Jackpot Entries

Oz Lotto's LFL entries have been much more consistent than Powerball (but also didn't see as big of a covid tailwind). The upward swing in momentum during Feb-24 appeared to be a boost to entries immediately after the record $200m Powerball draw. The two weaker spots are from draws immediately before $150m/100m Powerball jackpots. We have previously explored inter-portfolio cannibalisation in our Initiation (see here).

Exhibit 11 - Change in Oz Lotto Like-for-Like Jackpot Entries vs. the prior 12 months



Source: Company Data, E&P Estimates. Note: excludes jackpots with fewer than three data points in the prior period. Comments are like-for-like jackpot size

Monte Carlo Simulation Backtesting

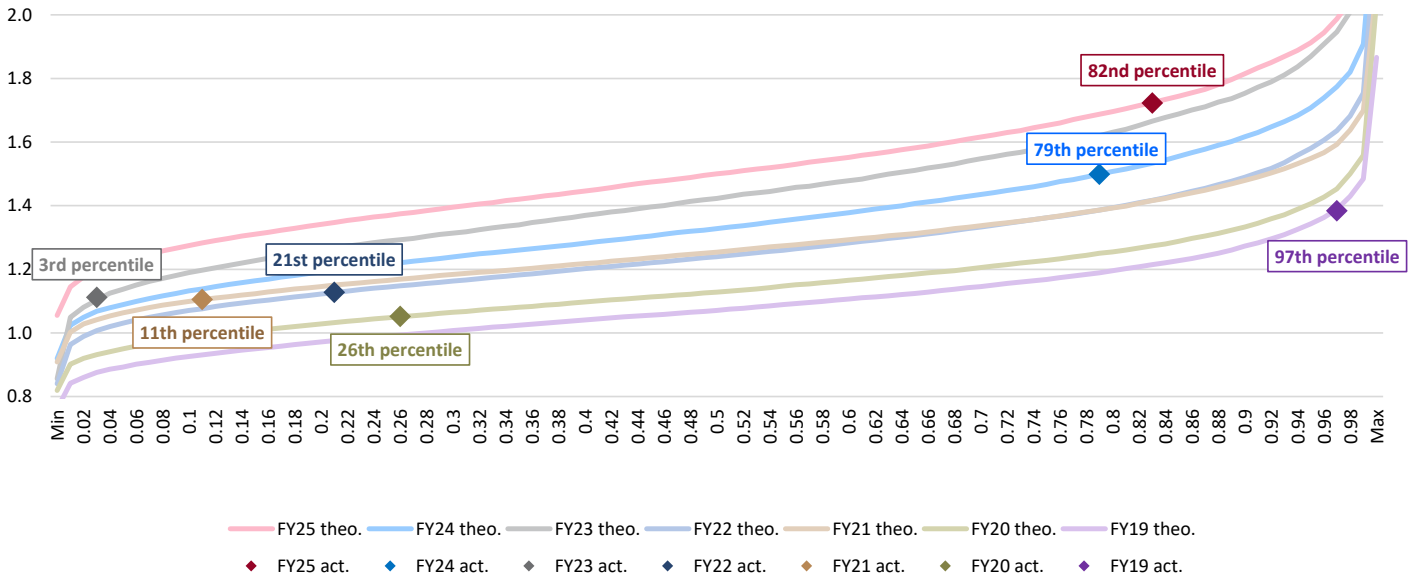
Below is the same Monte Carlo backtesting chart explained above in the Powerball section but for Oz Lotto.

The first thing you may notice is that Oz Lotto had four years in a row that were in the 26th percentile or less from the unlucky years mentioned above (FY20-FY23). The incredibly bad luck from FY23 in particular resulted in an outcome in the 3rd percentile.

In our TLC initiation (see here), we noted that we still believed the game change would yield a positive outcome, particularly the lengthening of the division-one odds, which should theoretically result in larger jackpots more frequently. We stated that if a reversion to the 50th percentile materialized, Oz Lotto could see +30.3% upside. Oz Lotto ended up gaining +32.1% in FY24 (79th percentile). This was despite having lower theoretical outcomes, largely due to the slower sequences used from a depleted prize reserve fund (see Powerball or Bust).

As we previously mentioned, Oz Lotto saw favorable jackpots in FY25, hence the 82nd percentile outcome. The main growth vs. FY24 was the improved simulation parameters. These include a higher starting jackpot, slightly better LFL sales, and a stronger prize reserve fund that could sustain faster jackpot sequences.

Exhibit 12 - Oz Lotto Monte Carlo Simulation Backtesting - Sales (A$m, y-axis), percentile outcome (#, x-axis)



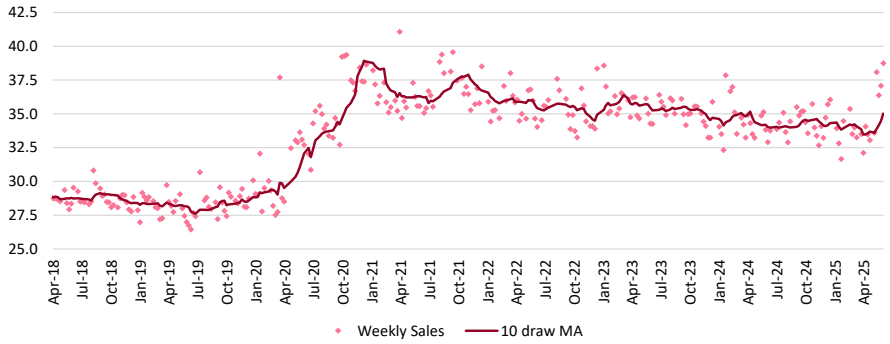
Source: Company Data, E&P Estimates. Note Includes WA

Saturday Lotto

FY25 Performance

Saturday Lotto turnover declined by -3.8% overall. This represents the lowest volume since FY21. This is primarily due to declining LFL sales post COVID, but can also be influenced by management's discretion with the timing of major jackpots.

Exhibit 13 - Saturday Lotto Sales for Normal Draws (A$m)



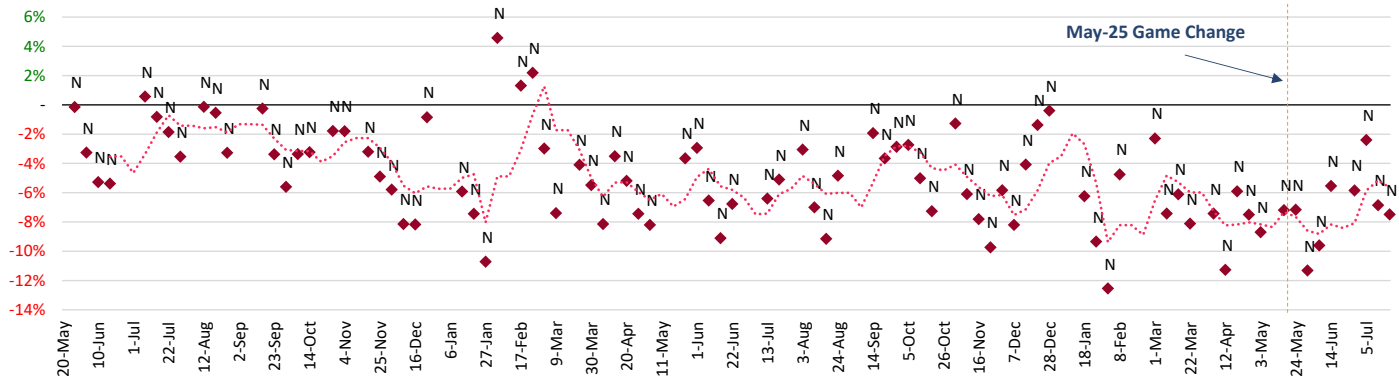
Source: Company Data, E&P Estimates. Note: Includes WA

Like-for-Like Jackpot Entries - Post Game Change

The key shorter-term observation for Saturday Lotto is the impact of the game change in May. The changes were minor overall, but included a 10c increase in the subscription price and minor adjustments to the prize allocations. The primary objective of the change was to sustain the division one prize at around $6m (previously around $5m). The game change was designed to be predictable, as Saturday Lotto is Australia's heritage lottery game that typically skews towards older players who play the same numbers.

Thus far, the change can be deemed a success. The entries for the normal draws have only declined by -1.2% yoy, despite a +13.3% increase in the subscription price.

Exhibit 14 - Change in Saturday Lotto Normal Jackpot Entries vs. the 12 months pre game-change



Source: Company Data, E&P Estimates.

Sequence Acceleration / Prize Reserve Fund

Saturday Lotto's sequence is largely at the discretion of TLC's management and therefore is not subject to the same luck component as Powerball & Oz Lotto. However, it is still the second-largest game and sees some variation in earnings based on the timing of Super/ Megadraws.

Below we show that management appears to have been attempting to smooth Saturday Lotto's earnings for some time. FY21 saw a significant increase in LFL entries, which resulted in an overall increase in subscriptions. However, rather than immediately add more $20m Superdraws or $30/$40m Megadraws, management built up the prize reserve fund. Thus, from FY23-FY25, management has been able to prop up extra Super/Mega draws to offset the declining LFL entries.

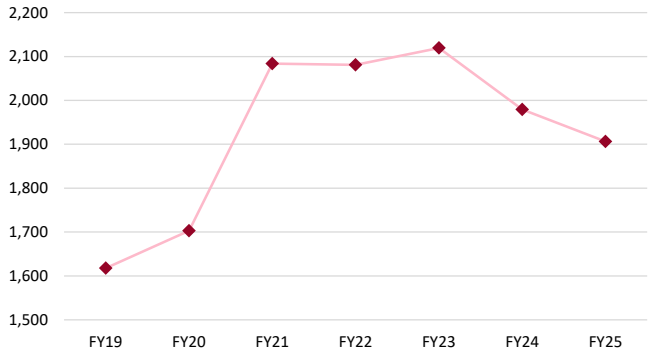
Management can only prop up the game for as long as they have the prize reserves to do so, which have been depleting. However, the May-25 game change offers an opportunity to maintain the division-one prize offerings due to the extra 10c subscription price, which has thus far not resulted in a corresponding decline in entries.

Exhibit 15 - Saturday Lotto Subscriptions and Net Prize Reserve Fund Accumulation

Period	Subscriptions	Prizes	Theoretical Prizes	Net PRF Accumulation
FY19	1,617,679,785	972,002,609	970,607,871	-1,394,738
FY20	1,702,810,061	1,012,169,509	1,021,686,037	+9,516,528
FY21	2,083,911,853	1,219,068,144	1,250,347,112	+31,278,968
FY22	2,080,843,777	1,247,065,858	1,248,506,266	+1,440,408
FY23	2,119,361,520	1,286,435,398	1,271,616,912	-14,818,486
FY24	1,979,100,698	1,205,067,122	1,187,460,419	-17,606,703
FY25	**1,906,138,630**	**1,149,867,568**	**1,143,683,178**	**-6,184,390**

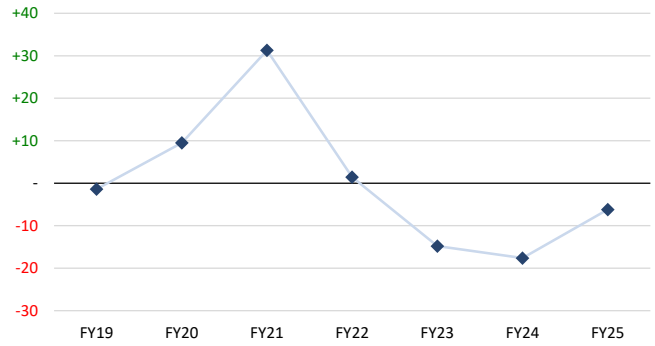
Source: Company Data, E&P Estimates. Note: Includes WA

Exhibit 16 - Saturday Lotto Subscriptions (A$m)



Source: Company Data, E&P Estimates. Note: Includes WA.

Exhibit 17 - Saturday Lotto Net Prize Reserve Fund Accumulation (A$m)



Source: Company Data, E&P Estimates. Note: Includes WA.

Weekday Windfall

In May-24, Monday & Wednesday Lotto underwent a game change plus a rebrand to Weekday Windfall. The odds and maths of the game did not change, but the subscription price increased by +9.1% and the game was extended to have an extra draw on Fridays.

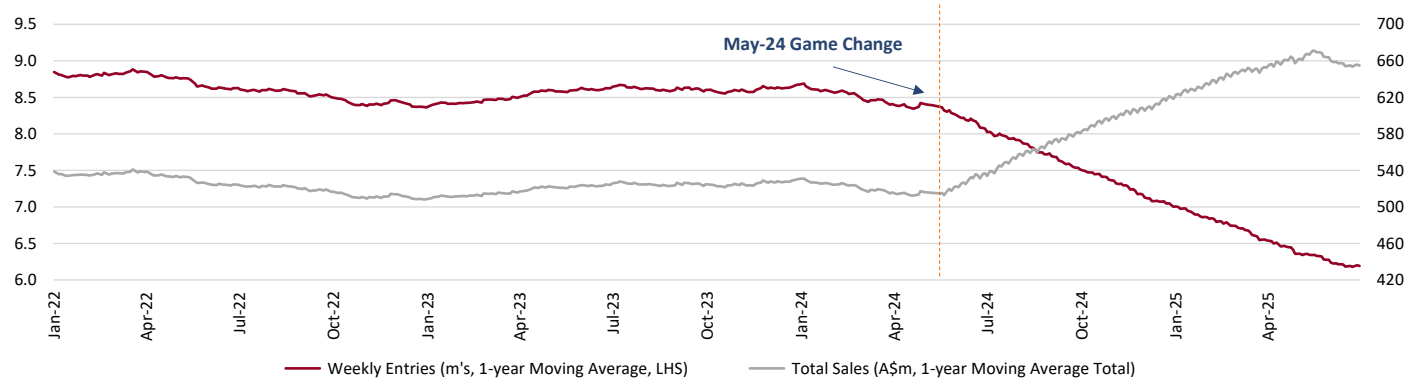
The overall outcome yielded mixed results that were slightly below our expectations. Overall sales increased by +23.5%, due to the extra draw & higher subscription price. However, average entries fell more than we were expecting, with the Monday & Wednesday entries falling by -12.6%/-19.3%. This is much a higher churn rate than we have historically seen for other game changes. Furthermore, Friday draw entries are well below the other two days, albeit we note the gap has partially closed throughout the year.

Exhibit 18 - Weekday Windfall Game Changes & Outcome (12-months)

	Pre Game Change	Post Game Change	Impact
GAME CHANGES			
Odds & Prize Allocation	-	-	Unchanged
Frequency per Week	2	3	+50.0%
Subscription Price	$0.55	$0.60	+9.1%
OUTPUT			
Entries by Day			
Monday	8,053,124	7,042,391	-12.6%
Wednesday	8,728,766	7,048,183	-19.3%
Friday	-	4,901,746	NA
Total Sales by Day			
Monday	263,622,636	251,493,629	-4.6%
Wednesday	285,740,099	251,700,491	-11.9%
Friday		175,048,227	NA
Total Sales	**$549,362,735**	**$678,242,347**	**+23.5%**

Source: Company Data, E&P Estimates. Note: Includes WA.

Exhibit 19 - Weekday Windfall Game Change Comparison - Average Entries vs. Total Sales



Source: Company Data, E&P Estimates. Note: Includes WA.

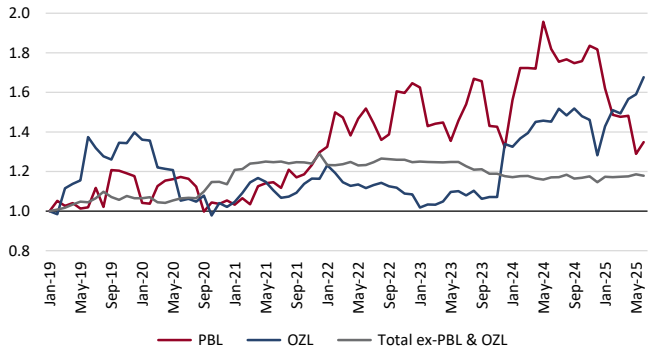
Long Term Trends

Below we demonstrate the longer-term performance of TLC's portfolio. Naturally, the two jackpot games, Powerball & Oz Lotto, have the most volatility given the structure of the games. Relative to pre-COVID, both have outperformed the non-jackpot games.

The non-jackpot games saw an initial boost during COVID, but have gradually receded since. The chart on the right demonstrates that each non-jackpot game is now below their respective Jan-21 index, except for Weekday Windfall which has only seen recent momentum from the game change.

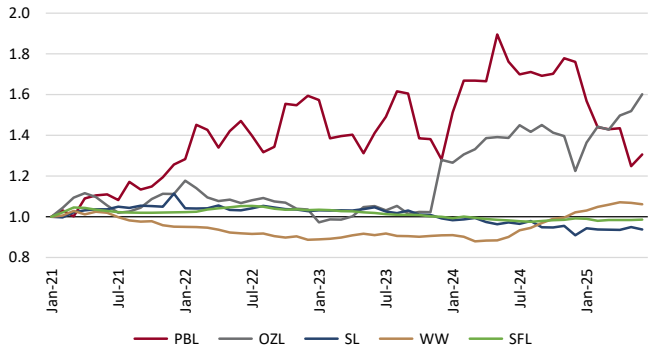
Over the long-term, we expect the jackpot games to continue to outperform the non-jackpot games. This is due to a combination of these games being more popular with younger demographics, and also that we believe larger jackpots are increasingly becoming a point of difference for TLC relative to some of the alternative lottery products.

Exhibit 20 - Lotteries Turnover - 12 month Moving Average Total index (Jan-19 = 1.0)



Source: Company Data, E&P Estimates. Note Excludes Instants and Other Games.

Exhibit 21 - Lotteries Turnover - 12 month Moving Average Total index (Jan-21 = 1.0)

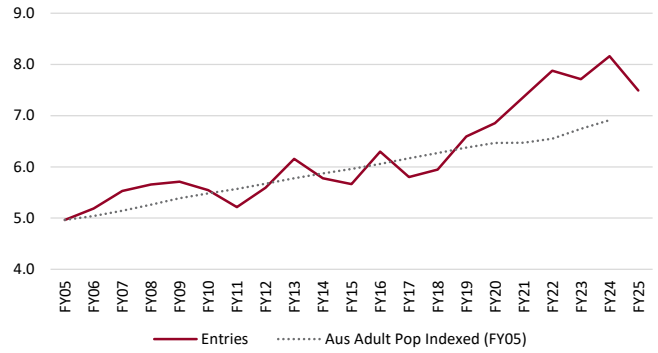


Source: Company Data, E&P Estimates.

Below we show that since FY05, lottery entries have largely increased in proportion to the increase in the adult population. However, a breakaway from the trend line occurred during COVID, thus we are mindful of the potential for a reversion towards the long-term trend.

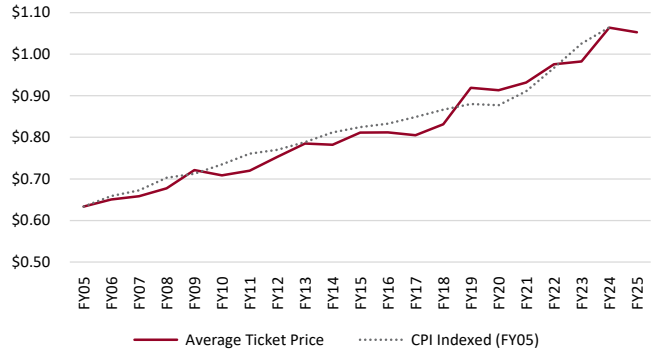
This differs from the comparison of ticket pricing vs CPI, which has seen a rather strong correlation, albeit management has much greater control over this KPI.

Exhibit 22 - Lotteries Entries (bn.) vs. Australian Adult Population (indexed)



Source: ABS, Company Data, E&P Estimates.

Exhibit 23 - Average Ticket Price vs. CPI (indexed)



Source: ABS, Company Data, E&P Estimates.

Turnover Estimates by Game

Below we show our turnover estimates by game for FY25E & provide commentary for our FY26E estimates.

Powerball - An upward reversion to the 50th percentile, offset by significantly less sequence acceleration and marginally lower LFL entries.

Oz Lotto - A downward reversion to the 50th percentile.

Saturday Lotto - A small increase due to the high retention (at least so far) of the game change price increase.

Weekday Windfall - A decline due to the downward trend the game is currently seeing.

Set for Life - A similar downward trend to Weekday Windfall, but to a lesser extent.

Lucky Lotteries - YoY growth, but our forecasts were recently revised down as the SuperDraw jackpot just went off 2-weeks ago.

Instants & Other - no change as we have no data on these games.

Exhibit 24 - FY25 TLC Lottery Turnover Forecast by Game (A$m)

Game	FY24A	FY25E	revision	yoy%
Powerball	3,098	2,296	-8.5%	-25.9%
Oz Lotto	1,165	1,344	14.8%	15.4%
Saturday Lotto	1,652	1,592	1.1%	-3.6%
Weekday Windfall (prev. M&W Lotto)	415	491	-5.8%	18.3%
Set for Life	318	312	-0.6%	-1.9%
Lucky Lotteries	109	109	16.9%	-
Instants	421	425	-	1.0%
Other	169	190	-	12.4%
Total	**7,347**	**6,759**	**-0.6%**	**-8.0%**

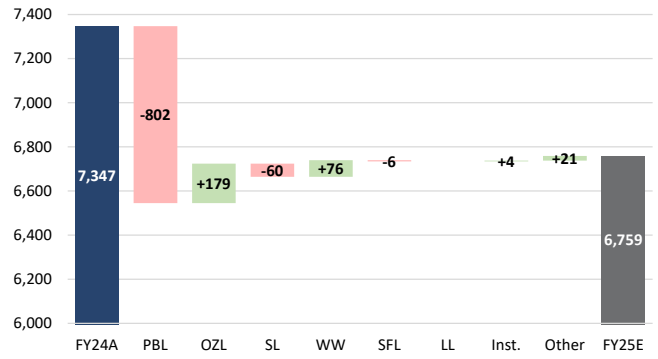
Source: Company Data, E&P Estimates. Note: excludes WA

Exhibit 25 - FY26 TLC Lottery Turnover Forecast by Game (A$m)

Game	FY25E	FY26E	revision	yoy%
Powerball	2,296	2,434	-9.0%	6.0%
Oz Lotto	1,344	1,146	0.2%	-14.7%
Saturday Lotto	1,592	1,680	1.7%	5.5%
Weekday Windfall (prev. M&W Lotto)	491	470	-13.9%	-4.3%
Set for Life	312	308	-2.8%	-1.3%
Lucky Lotteries	109	120	-22.0%	10.1%
Instants	425	425	-	-
Other	190	190	-	-
Total	**6,759**	**6,773**	**-4.6%**	**0.2%**

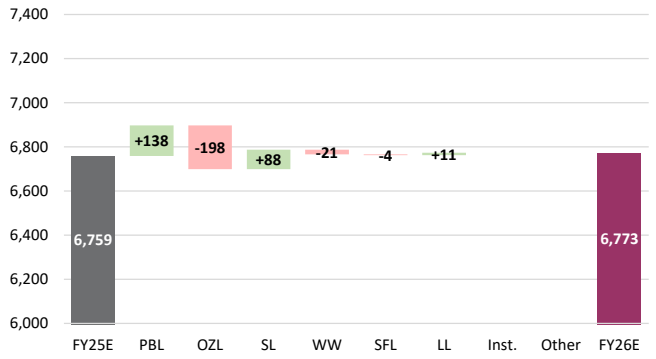
Source: Company Data, E&P Estimates. Note: excludes WA

Exhibit 26 - FY24 to FY25 TLC Lottery Turnover Waterfall (A$m)



Source: Company Data, E&P Estimates. Note: excludes WA

Exhibit 27 - FY25 to FY26 TLC Lottery Turnover Waterfall (A$m)



Source: Company Data, E&P Estimates. Note: excludes WA

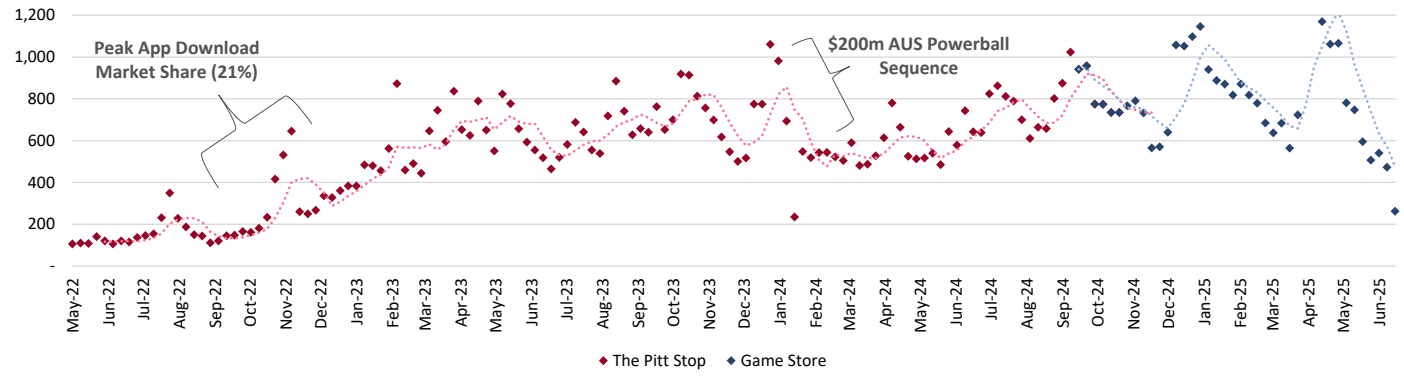
Foreign Matched Lotteries

The Lottery Office (TLO) and other overseas retailers continue to be viewed by the market as a source of potential competitive risk. Last year we did a deep dive into TLO's US operations, scale, and impact on TLC (see note). Since our publication, the AFR has reported that Communications Minister Michelle Rowland has started a review into offshore lottery providers and online keno distributors. The review has been supported in a statement by Australian Lottery and Newsagents Association (ALNA) CEO Ben Kearney, who represents what we believe is a critical lobbying partner for TLC.

We estimate that TLO's US sales declined in FY25 vs FY24, primarily due to lower US Powerball & Mega Millions jackpots. For the US games, comparing LFL entries is difficult, as their game rules tend to yield inconsistent jackpot sequences. However, the chart below attempts to partially solve this problem by simply dividing The Pit Stop's weekly sales (TLO's affiliate) by the average size of the US Powerball & Mega Millions jackpots throughout the week. Using this metric, TLO sales appear to have been relatively flat over the past 2-years, albeit with reasonably high volatility.

Around six months ago, we were no longer able to find lottery sales data for “The Pit Stop Sports Bar & BBQ Grill”. Based on the timing and volume of sales, we believe it is quite likely that The Lottery Office shifted their affiliate retailer to a place called “Game Store”. This is just a 7-min drive from The Pit Stop and has an address that corresponds to an office location that was made available for lease around that time. We are also conscious that it is possible that TLO has more than one retailer affiliate.

Exhibit 28 - The Pit Stop Sports Bar & BBQ Grill + Game Store Weekly Lottery Sales divided by the US Powerball & Mega Millions Jackpots (US$m)



Source: Oregon Lottery, US Powerball, US Mega Millions, E&P Estimates. Note: US Jackpots are are the average combined size throughout the given week.

Charity Lotteries

Australian Charities

In the next section we take a brief look at charity lotteries, which are a small competitor to both TLC & Jumbo's B2C businesses. They also form a part of Jumbo's B2B strategy of diversifying away from their dependency on their TLC reseller agreement (see our Jumbo Initiation).

Below we show that the charities that have partnered with Jumbo have outperformed the non-Jumbo Saas clients over the past few years. In particular, the Mater Foundation has seen a phenomenal growth in sales from $52.8m in FY21 to ~$132.7m in FY25 (+25.9% CAGR). This is after experiencing very little growth from FY15 to FY20 (pre-Jumbo), whilst some other major charities such as the RSL Art Union, more than doubled.

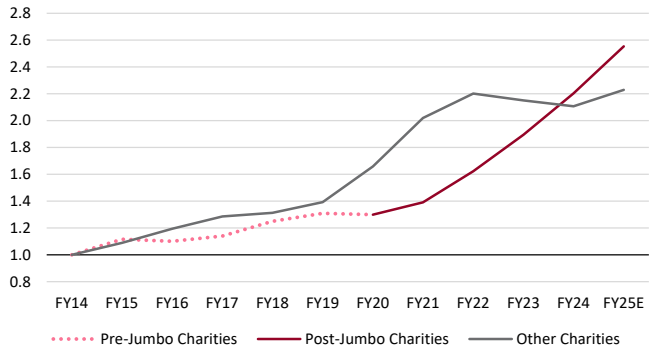
Exhibit 29 - Lottery Revenue from Major Australian Charities

	Units	FY14	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25E
Jumbo SaaS Clients													
Mater Foundation	A$m	47.0	52.4	50.2	50.6	52.3	54.0	50.6	52.8	68.7	89.8	112.5	132.7
Endeavour Foundation	A$m	11.0	22.5	21.9	23.6	29.0	30.8	32.1	35.9	39.0	39.1	37.4	45.1
Deaf Connect	A$m	21.3	13.7	15.3	16.3	17.9	19.2	20.5	21.7	21.2	21.5	25.0	24.9
Total	A$m	**79.4**	**88.6**	**87.4**	**90.5**	**99.2**	**103.9**	**103.1**	**110.4**	**128.8**	**150.4**	**174.9**	**202.7**
Non Jumbo SaaS Clients													
RSL Art Union	A$m	74.7	84.1	101.3	114.5	120.5	130.8	169.1	207.4	224.3	213.6	199.2	216.1
YourTown	A$m	55.4	57.6	58.4	59.8	60.2	61.8	66.7	81.0	84.9	80.5	79.3	78.5
Surf Life Saving	A$m	24.7	26.7	25.0	24.6	22.6	22.9	20.7	24.0	31.4	38.5	47.4	50.3
Total	A$m	**154.7**	**168.4**	**184.7**	**199.0**	**203.2**	**215.5**	**256.5**	**312.4**	**340.5**	**332.6**	**325.9**	**344.9**

Transitioned to Jumbo SaaS Platform ### Estimate based on major prizes

Source: E&P Estimates, Company Data, Charity Data, ACNC. Note: RSL Art Union are CY's. Endeavour, Deaf Lottery & Surf Life Saving are fundraising/commercial income which we believe are majority lotteries.

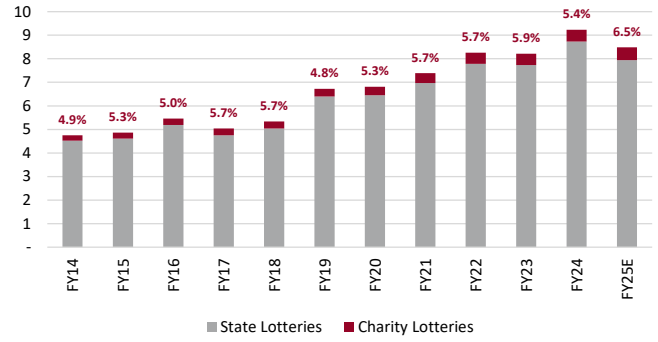
Exhibit 30 - Charity Lottery Revenue Index (FY14 = 1.0)



Source: E&P Estimates, Company Data, Charity Data, ACNC. Note: RSL Art Union are CY's. Endeavour, Deaf Lottery & Surf Life Saving are fundraising/commercial income which we believe are majority lotteries. Deaf Lottery Adoption was FY22.

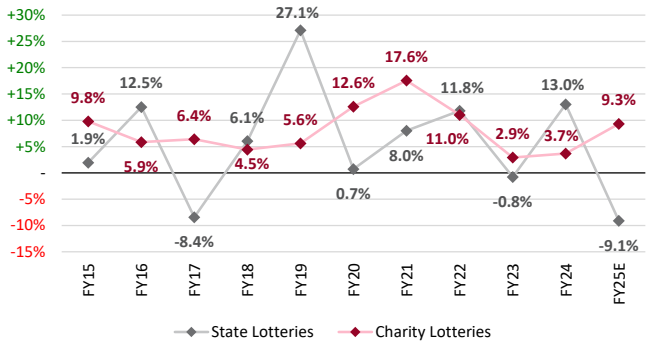
Overall, the six largest Australian Charities now account for ~6.5% of lottery sales. We estimate that the overall charity market is probably approaching 10%.

Exhibit 31 - Australian Annual Lottery Sales (£bn.) - Charity Lottery % as Label



Source: E&P Estimates, Company Data, Charity Data, ACNC, AGS.
Note: State Lotteries includes WA & retailer commissions. Charity Lotteries are a sample of the six biggest by Sales.

Exhibit 32 - Australian Annual Lottery Sales Growth

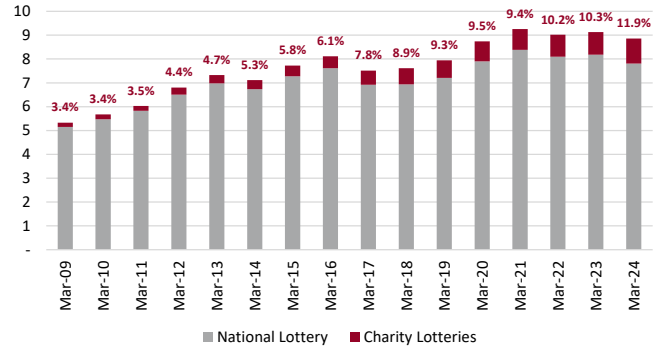


Source: E&P Estimates, Company Data, Charity Data, ACNC, AGS.
Note: State Lotteries includes WA & retailer commissions. Charity Lotteries are a sample of the six biggest by Sales.

UK Charities

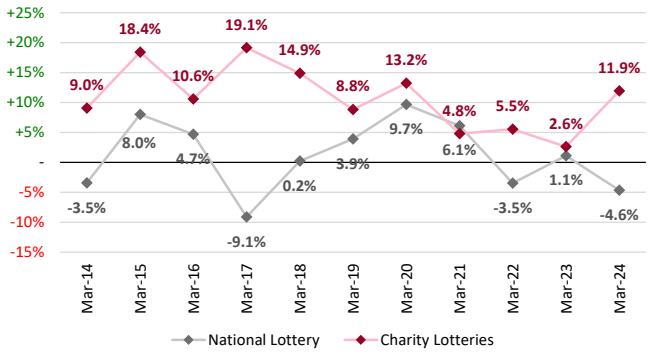
In the UK, society (charity) lotteries have increased their proportion of total lottery sales at a faster rate than Australia, growing from just 3.4% for the year ending Mar-09 to 11.9% in Mar-24.

Exhibit 33 - UK Annual Lottery Sales (£bn.) - Charity Lottery % as Label



Source: UKGC, E&P Estimates

Exhibit 34 - UK Annual Lottery Sales Growth



Source: UKGC, E&P Estimates

Changes to Forecasts and Valuations

TLC

The majority of our changes to TLC come from analyzing the performance of each individual game and making adjustments to our turnover forecast. We have also increased our near-term capex assumptions to adjust for the ongoing tech upgrades to retailer terminals. Our valuation has declined -6.5% to $5.16. Given, the strong share price movements and that we are currently below consensus for FY26, we have downgraded our recommendation to Neutral.

Jumbo

We have assumed the same TLC-related implications for Jumbo, which impacts their Lottery Retailing segment & intersegment fee for SaaS. We have also increased our marketing expense assumptions to reflect the current competitive environment for online ads and made changes to the Managed Services segment to adjust for currency impacts. Our valuation has declined -5.9% to $14.40, and we retain our Positive recommendation.

Exhibit 35 - TLC changes to financial forecasts

		FY25E	FY26E	FY27E
Revenue	**New**	**3,686.0**	**3,711.1**	**3,840.0**
	Old	3,705.8	3,876.0	3,985.6
	% change	-0.5%	-4.3%	-3.7%
EBITDA	**New**	**739.9**	**731.2**	**758.0**
	Old	744.9	773.6	795.5
	% change	-0.7%	-5.5%	-4.7%
NPAT	**New**	**341.9**	**319.4**	**333.5**
	Old	353.3	366.9	370.4
	% change	-3.2%	-13.0%	-10.0%
Valuation	**New**	**$5.16**		
	Old	$5.52		
	% change	-6.5%		

Source: E&P Estimates

Exhibit 36 - JIN changes to financial forecasts

		FY25E	FY26E	FY27E
Revenue	**New**	**145.1**	**158.3**	**173.3**
	Old	142.0	159.4	173.7
	% change	+2.2%	-0.7%	-0.2%
EBITDA	**New**	**66.6**	**71.7**	**78.7**
	Old	65.8	74.5	81.8
	% change	+1.2%	-3.8%	-3.8%
NPAT	**New**	**37.8**	**41.9**	**46.8**
	Old	37.3	43.9	49.0
	% change	+1.4%	-4.6%	-4.5%
Valuation	**New**	**$14.40**		
	Old	$15.30		
	% change	-5.9%		

Source: E&P Estimates

Our Forecasts vs Consensus

TLC

Our TLC financial forecasts vs Visible Alpha consensus are as follows:

FY25

- Revenue: E&Pe $3,686m, VA Consensus $3,709m (-0.6%)
- EBITDA: E&Pe $739.9m, VA Consensus $752.3m (-1.6%)

FY26

- Revenue: E&Pe $3,711m, VA Consensus $3,988m (-6.9%)
- EBITDA: E&Pe $731.2m, VA Consensus $827.3m (-11.6%)

Jumbo

Our Jumbo financial forecasts vs Visible Alpha consensus are as follows:

FY25

- Revenue: E&Pe $145.1m, VA Consensus $142.6m (+1.8%)
- EBITDA: E&Pe $66.6m, VA Consensus $66.0m (+1.0%)

FY26

- Revenue: E&Pe $158.3m, VA Consensus $163.0m (-2.9%)
- EBITDA: E&Pe $71.7m, VA Consensus $77.4m (-7.4%)

FINANCIAL SUMMARY

The Lottery Corporation				TLC-ASX	
As at:	28/07/2025			Recommendation:	Neutral

Year end	Jun	2024A	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		3,996.6	3,686.0	3,711.1	3,840.0
EBITDA		827.1	739.9	731.2	758.0
D&A		(108.3)	(119.1)	(142.9)	(141.8)
EBIT		718.8	620.8	588.3	616.2
Net Interest Expense		(108.1)	(120.1)	(122.0)	(129.8)
PBT		600.2	493.0	456.2	476.4
Tax expense		(188.4)	(151.1)	(136.9)	(142.9)
NPAT attributable to s'hers		**411.8**	**341.9**	**319.4**	**333.5**
Adjusted Net Profit		411.8	341.9	319.4	333.5
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Current Receivables		47.7	73.7	72.0	74.2
Other Current Assets		212.7	249.7	249.7	249.7
Total Current Assets		706.3	1,055.5	624.3	793.9
Property Plant & Equipment		157	148	148	148
Intangibles		845.5	812.4	1,266.4	1,210.1
Other Non-Current Assets		565.3	644.9	644.9	644.9
Total Non-Current Assets		3,657.9	3,695.6	4,149.6	4,093.3
Total Assets (BS)		4,364.2	4,751.1	4,773.9	4,887.2
Liabilities					
Current Accounts Payable		847.6	1,055.1	1,027.4	1,058.4
Total Current liabilities		1,013.4	1,199.8	1,172.1	1,203.1
Long Term Debt		2,391.1	2,622.6	2,622.6	2,622.6
Other Non-Current Liabilities		366.8	385.8	385.8	385.8
Total Non-Current Liabilities		2,987.7	3,227.9	3,227.9	3,227.9
Total Liabilities		4,001	4,428	4,400	4,431
Total Shareholders' Equity		363.1	323.4	373.9	456.2
Net Assets		363.1	323.4	373.9	456.2
Net Tangible Assets		(2,565.6)	(2,572.2)	(2,975.7)	(2,837.1)
Book Value		363.1	323.4	373.9	456.2
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		827.1	739.9	731.2	758.0
Change in Working Capital		(42.2)	181.5	(26.0)	28.7
Other Operating Cashflow		0.0	10.6	0.0	0.0
Gross Operating Cash Flow		**784.9**	**932.0**	**705.2**	**786.8**
Net interest paid		(105.7)	(124.7)	(132.0)	(139.8)
Tax Paid		(186.4)	(170.9)	(136.9)	(142.9)
Net Operating Cash Flows		**492.8**	**636.3**	**436.3**	**504.1**
Investing Cash Flows					
Purchase of PP&E		0.0	(29.6)	(59.3)	(47.9)
Other Investing Cashflows		(19.1)	(3.8)	0.0	0.0
Total Investing CashFlow		**(87.6)**	**(78.5)**	**(596.9)**	**(85.5)**

Source: Company data, E&P estimates

Share Price:	AUD5.45

Year end	Jun	2024A	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.0	110.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(43.6)	(46.3)	0.0	0.0
Distributions		(270.0)	(330.2)	(268.9)	(251.1)
Total Financing Cash Flow		**(393.8)**	**(271.7)**	**(268.9)**	**(251.1)**
Net Change in Cash		11.4	286.1	(429.4)	167.4
Free Cashflow		492.8	606.7	377.0	456.1
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		18.5	15.4	14.3	15.0
DPS (cents)		18.5	14.3	12.1	11.3
Cash Flow Per Share (cents/share)		22.1	27.3	16.9	20.5
Book Value ($/sh)		16.3	14.5	16.8	20.5
NTA Per Share ($/sh)		(115.3)	(115.6)	(133.7)	(127.5)
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		20.7	20.1	19.7	19.7
EBIT Margin (%)		18.0	16.8	15.9	16.0
Net Profit Margin (%)		10.3	9.3	8.6	8.7
Capital Employed		2,308.3	2,213.9	2,693.8	2,608.8
Return on Capital Employed (%)		31.3	27.5	24.0	23.2
EBITDA/Capital Employed (%)		36.0	32.7	29.8	28.6
ROE %		**131.2**	**99.6**	**91.6**	**80.4**
Net Debt/Equity (%)		535.7	584.7	620.5	471.8
Net Debt/Net Debt & Equity (%)		84.3	85.4	86.1	82.5
Net Debt/EBITDA (x)		2.4	2.6	3.2	2.8
Net Interest Cover (x)		5.7	4.5	4.0	4.1
GOCF/EBITDA (%)		0.9	1.3	1.0	1.0
Total Capex/Sales (%)		1.7	2.0	16.1	2.2
Working Capital/Sales (%)		(0.2)	(0.3)	(0.3)	(0.3)
D&A/PP&E (%)		69.2	80.4	96.4	95.7
EV/EBITDA (x)		16.2	17.8	18.9	18.3

BLENDED VALUATION		
Valuation - DCF	5.16	1.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD5.16	

Jumbo Interactive Ltd				JIN-ASX	
As at:	28/07/2025			Recommendation:	Positive

Year end	Jun	2024A	2025E	2026E	2027E
INCOME STATEMENT					
Total Operating Income/Revenue		159.3	145.1	158.3	173.3
EBITDA		75.1	66.5	71.7	78.7
D&A		(12.4)	(12.9)	(13.3)	(13.6)
EBIT		62.8	53.6	58.4	65.1
Net Interest Expense		1.0	1.6	1.4	1.7
PBT		63.7	55.2	59.8	66.8
Tax expense		(20.4)	(17.5)	(17.9)	(20.0)
NPAT attributable to s'hers		**43.3**	**37.6**	**41.9**	**46.8**
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
BALANCE SHEET					
Assets					
Cash		69.0	77.0	91.2	108.1
Current Receivables		7.3	8.7	9.1	9.8
Inventories		0.1	0.0	0.0	0.0
Other Current Assets		13.0	2.4	2.4	2.4
Total Current Assets		89.3	88.1	102.7	120.3
Property Plant & Equipment		1	1	2	2
Intangibles		46.5	43.9	41.4	39.8
Other Non-Current Assets		2.2	1.8	2.1	2.4
Total Non-Current Assets		80.5	79.8	78.0	77.0
Total Assets (BS)		169.8	167.9	180.7	197.3
Liabilities					
Current Accounts Payable		36.9	34.7	36.0	38.7
Total Current liabilities		45.2	38.0	39.2	42.0
Long Term Debt		0.6	0.0	0.0	0.0
Other Non-Current Liabilities		0.5	0.4	0.4	0.4
Total Non-Current Liabilities		9.5	8.1	8.4	8.6
Total Liabilities		55	46	48	51
Total Shareholders' Equity		115.2	121.8	133.0	146.7
Net Assets		115.2	121.8	133.0	146.7
Net Tangible Assets		37.7	45.5	59.3	74.5
Book Value		115.2	121.8	133.0	146.7
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
OPERATING CASH FLOWS					
EBITDA		75.1	67.2	71.7	78.7
Change in Working Capital		6.2	(3.7)	1.0	2.0
Other Operating Cashflow		0.9	0.2	0.0	0.0
Gross Operating Cash Flow		**82.3**	**63.8**	**72.6**	**80.7**
Net interest paid		1.0	1.6	1.4	1.7
Tax Paid		(22.6)	(19.2)	(17.9)	(20.0)
Net Operating Cash Flows		**60.7**	**46.2**	**56.1**	**62.4**
Investing Cash Flows					
Purchase of PP&E		(0.4)	(1.4)	(1.6)	(1.7)
Other Investing Cashflows		(8.6)	7.2	0.0	0.0
Total Investing CashFlow		**(15.2)**	**(1.7)**	**(9.8)**	**(10.7)**

Source: Company data, E&P estimates

Share Price:	AUD10.31

Year end	Jun	2024A	2025E	2026E	2027E
FINANCING CASH FLOWS					
Proceeds from Borrowings		0.6	(0.6)	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(0.6)	(4.7)	0.0	0.0
Distributions		(29.6)	(30.7)	(30.6)	(33.1)
Total Financing Cash Flow		**(30.9)**	**(37.4)**	**(32.1)**	**(34.8)**
Net Change in Cash		14.5	8.0	14.2	16.9
Free Cashflow		60.2	44.7	54.6	60.7
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
PER SHARE DATA					
EPS - Adjusted (cents)		68.9	60.1	66.9	74.7
DPS (cents)		54.5	45.4	48.9	52.9
Cash Flow Per Share (cents/share)		95.7	71.4	87.1	96.9
Book Value ($/sh)		182.9	194.5	212.5	234.3
NTA Per Share ($/sh)		59.9	72.7	94.7	119.0
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
SEGMENTALS					
Lottery Retailing revenue		123.4	106.9	117.6	130.2
SaaS revenue		50.7	44.2	48.1	52.2
Managed Services revenue		25.8	27.8	29.2	30.5
Reseller EBITDA		42.6	36.4	36.7	40.7
SaaS EBITDA		32.8	30.1	33.5	36.4
EBITDA		6.7	6.4	7.1	7.5
Year end	**Jun**	**2024A**	**2025E**	**2026E**	**2027E**
ANALYSIS					
EBITDA Margin (%)		47.2	45.8	45.3	45.4
EBIT Margin (%)		39.4	36.9	36.9	37.6
Net Profit Margin (%)		27.2	25.9	26.4	27.0
Capital Employed		46.8	44.8	41.9	38.6
Return on Capital Employed (%)		136.1	116.9	134.7	161.8
EBITDA/Capital Employed (%)		162.9	145.1	165.4	195.6
ROE %		**40.3**	**31.8**	**32.9**	**33.4**
Net Debt/Equity (%)		(59.4)	(63.2)	(68.5)	(73.7)
Net Debt/Net Debt & Equity (%)		(146.0)	(171.6)	(217.8)	(279.9)
Net Debt/EBITDA (x)		(0.9)	(1.2)	(1.3)	(1.4)
Net Interest Cover (x)		135.6	148.9	352.9	353.2
GOCF/EBITDA (%)		1.1	0.9	1.0	1.0
Total Capex/Sales (%)		4.2	6.2	6.2	6.2
Working Capital/Sales (%)		(0.2)	(0.2)	(0.2)	(0.2)
D&A/PP&E (%)		1,940.0	921.6	699.1	606.2
EV/EBITDA (x)		13.6	11.5	10.8	9.9

BLENDED VALUATION		
Valuation - DCF	15.35	1.0%
Valuation	AUD14.40	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

RESEARCH				
Cameron McDonald	Transport, Infra, Waste, Packaging	Managing Director, Head of Research	cameron.mcdonald@eandp.com.au	+61 3 9235 9709
Paul Mason	Technology	Managing Director	paul.mason@eandp.com.au	+61 3 9631 9867
Julian Mulcahy	Small Caps	Managing Director	julian.mulcahy@eandp.com.au	+61 3 9235 9713
Adam Martin	Energy	Executive Director	adam.martin@eandp.com.au	+61 3 9235 9724
Olivier Coulon	Small Caps	Executive Director	olivier.coulon@eandp.com.au	+61 2 8070 6634
Phillip Kimber	Consumer	Executive Director	phillip.kimber@eandp.com.au	+61 3 9631 9873
Robin Young	Wealth	Executive Director	robin.young@eandp.com.au	+61 3 9235 9730
Entcho Raykovski	Telco, Media	Executive Director	entcho.raykovski@eandp.com.au	+61 3 9235 9719
David Nayagam	Healthcare	Executive Director	david.nayagam@eandp.com.au	+61 3 9235 9704
Sacha Krien	Healthcare	Executive Director	sacha.krien@eandp.com.au	+61 3 9235 9715
Harry Saunders	Building Materials	Associate Director	harry.saunders@eandp.com.au	+61 3 9235 9744
Kieran Harris	Small Caps	Associate	kieran.harris@eandp.com.au	+61 3 9235 9749
Kade Madigan	Consumer	Associate	kade.madigan@eandp.com.au	+61 2 8070 6637
Branko Skocic	Energy	Associate	branko.skocic@eandp.com.au	+61 3 9235 9705
Jessica Scott	Consumer	Associate	jessica.scott@eandp.com.au	+61 2 8070 6638
Sam Bradshaw	Gaming	Associate	sam.bradshaw@eandp.com.au	+61 3 9235 9706
Hamish Frazer	Media, Telco	Associate	hamish.frazer@eandp.com.au	+61 3 9235 9747
Nick Torelli	Transport, Infra, Packaging	Associate	nick.torelli@eandp.com.au	+61 3 9235 9736
Annabel Khun	Technology	Associate	annabel.khun@eandp.com.au	+61 3 9235 9737
Shankari Thayakaran	Small Caps	Associate	shankari.thayakaran@eandp.com.au	+61 3 8070 6635
SALES AND TRADING (AUSTRALIA)				
Alex Rock	Head of Institutional Equities	Managing Director	alex.rock@eandp.com.au	+61 2 8070 6617
Adam Woods	Head of Sales Trading	Managing Director	adam.woods@eandp.com.au	+61 2 8070 6671
Andrew Tanner	Institutional Equities Sales	Managing Director, Snr Advisor	andrew.tanner@eandp.com.au	+61 3 9235 9781
Sam Fletcher	Institutional Equities Sales	Managing Director	sam.fletcher@eandp.com.au	+61 2 8070 6615
Anna Lenzner	Institutional Equities Sales	Executive Director	anna.lenzner@eandp.com.au	+61 2 8070 6652
Steven Marchio	Institutional Equities Sales	Executive Director	steven.marchio@eandp.com.au	+61 3 9235 9752
Bill Forde	Institutional Equities Sales	Executive Director	bill.forde@eandp.com.au	+61 2 8070 6626
Alexander Blight	Sales Trader	Executive Director	alexander.blight@eandp.com.au	+61 2 8070 6629
Simon Bernadou	Institutional DTR	Associate Director	simon.bernadou@eandp.com.au	+61 2 8070 6672
Mark Steer	Institutional Sales Trading	Associate Director	mark.steer@eandp.com.au	+61 3 9235 9708
Taylor Duong	Head of Middle Office	Associate Director	taylor.duong@eandp.com.au	+61 2 8662 9722
Harry Barrett	Institutional Sales Trading	Associate	harry.barrett@eandp.com.au	+61 2 8070 6669
Michael De Palma	Institutional Sales Trading	Associate	michael.depalma@eandp.com.au	+61 2 8070 6670
INSTITUTIONAL SALES (HONG KONG)				
Olivia Cartwright	Australian Equities Sales	Director	olivia.cartwright@eandp.com.au	+852 2303 5787
Mitchel Holloway	Australian Equities Sales	Associate Director	Mitchell.holloway@eandp.com.au	+852 2303 5787
FIXED INCOME				
James O'Hare	Head of Fixed Income	Executive Director	james.ohare@eandp.com.au	+61 3 9631 9891
Daniel Jetter	FI Sales & Trading	Director	daniel.jetter@eandp.com.au	+61 3 9631 9801
Stefan Cvetkovic	FI Sales & Trading	Associate Director	stefan.cvetkovic@eandp.com.au	+61 3 9235 9731
Stephanie Siomos	FI Sales & Trading	Associate Director	stephanie.siomos@eandp.com.au	+61 3 9631 9887
CORPORATE ACCESS				
Tanya Irivine	Head of Corporate Access	Executive Director	tanya.irvine@eandp.com.au	+61 2 8070 6612
Paris Gutierrez	Senior Corporate Access Specialist	Associate Director	paris.gutierrez@eandp.com.au	+61 2 8070 6611
Czarlette Cheika	Corporate Access Specialist	Associate	czarlette.cheika@eandp.com.au	+61 2 8070 6622
Anji Pandey	Corporate Access Specialist	Coordinator	anji.pandey@eandp.com.au	+61 2 8662 9751
Tiana Mioni	Corporate Access Specialist	Team Assistant	tiana.mioni@eandp.com.au	+61 2 8662 9746

Office locations

AUSTRALIA – EVANS AND PARTNERS PTY LTD

Sydney

Level 32, 1 O'Connell Street

Sydney NSW 2000

T +61 2 8070 6600

Melbourne

Level 9, 171 Collins Street

Melbourne VIC 3000

T +61 3 9631 9888

HONG KONG – E&P ASIA (HK) LIMITED

Hong Kong

Suite 2812, Level 28 One Chinachem Central, 22 Des Voeux Road Central,

Central, Hong Kong

T +852 2303 5787

F +61 2 8569 0386

W eandp.com.au

F +61 3 8610 1608

GENERAL RESEARCH DISCLAIMER, WARNING & DISCLOSURES

In Australia, this document is provided by Evans and Partners Pty Ltd ABN 85 125 338 785, holder of AFSL 318075, trading as E&P Research (**Evans and Partners**).

In Hong Kong, this document is issued by E&P Asia (HK) Limited (company number: 2918464) (**E&P Asia**) which is licensed under the Securities and Futures Ordinance (Cap. 571 of the laws of Hong Kong) (**SFO**) for Types 1 and 4 regulated activities (CE number: BPX011).

Please refer to the document entitled 'Research Conflicts of Interest Disclosure' available for download from the Important Disclosures section of our website (www.eap.com.au) and Evans and Partners' Financial Services Guide (FSG) which is also available on our website.

The information is **general advice only** and does not take into consideration an investor's objectives, financial situation or needs. Before acting on the advice, investors should consider the appropriateness of the advice, having regard to the investor's objectives, financial situation and needs. If the advice relates to a financial product that is the subject of a Product Disclosure Statement (e.g. unlisted managed funds) or other disclosure document, investors should obtain the PDS or other disclosure document and consider it before making any decision about whether to acquire the product.

The material contained in this document is for information purposes only and does not constitute an offer, solicitation or recommendation with respect to the purchase or sale of securities. It should not be regarded by recipients as a substitute for the exercise of their own judgment. Investors should be aware that past performance is **not an infallible indicator** of **future** performance and future returns are not guaranteed.

Any opinions and/or recommendations expressed in this material are subject to change without notice and none of Evans and Partners, its related companies, associated entities, or any of their respective officers, employees, agents, advisers or contractors (**E&P Group**) are under any obligation to update or keep current the information contained herein. References made to third parties are based on information believed to be reliable but are not guaranteed as being accurate.

This document is provided to the recipient only and is not to be distributed to third parties without the prior consent of Evans and Partners, or E&P Asia (in the case of Hong Kong).

HONG KONG

By accessing this document, the recipient represents and warrants they are a "professional investor" within the meaning of the definition of that term in Schedule 1 to the SFO. If this document has been received in error, please contact E&P Asia at 2812, Level 28, One Chinachem Central, 22 Des Voeux Road Central, Central, Hong Kong.

The contents of this document have not been reviewed by any regulatory authority in Hong Kong. If you have any doubt about any of the contents of this document, you should obtain independent professional advice.

No relationship is intended to be created between research analysts and recipients, except where necessary licenses and approvals have been obtained. Should you have any questions regarding this document, please contact E&P Asia on +852 2303 5787.

DISCLOSURE OF INTERESTS
One or more members of the E&P Group may have an interest in the securities or derivatives of any entities referred to in this material. The E&P Group does, and seeks to do, business with companies that are the subject of its research reports.

CORPORATE RELATIONSHIP DISCLOSURE

Security	Nature of relationship
ACL	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
BOT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
AOV	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
CD1	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund I (CD1) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD1. Each individual receives remuneration from E&P and/or its related entities. A subsidiary of E&P is currently providing services under a transitional services agreement with K2 Asset Management Holdings Limited, the Responsible Entity.
CD2	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund II (CD2) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD2. Each individual receives remuneration from E&P and/or its related entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited, the Responsible Entity.
CD3	E&P Financial Group Limited (E&P) partly and/or wholly owns or controls entities that provide services in relation to CD Private Equity Fund III (CD3) for which they receive fees. Evans and Partners is a wholly owned subsidiary of E&P. Directors or employees of E&P and/or its related bodies corporate are directors of the entities that provide services in relation to CD3. Each individual receives remuneration from E&P and/or its

	related entities. A subsidiary of E&P is currently providing services at cost under a transitional services agreement with K2 Asset Management Holdings Limited, the Responsible Entity.
CGHE	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
CVB	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
CGUN	The Investment Manager (IM) of Claremont Global Fund (Fund), and Evans and Partners Pty Ltd (EAP) are wholly owned subsidiaries of E&P Financial Group Limited (E&P) and related bodies corporate. The IM will receive fees for services provided to the Fund. The Portfolio Managers of the Fund are employees of E&P and/or its related bodies corporate. Each individual receives remuneration from E&P and/or its related entities.
DGT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
DN1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EBR	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
EXP	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security. E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has previously provided advisory services to the company.
GCI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
IFM	The Issuer has appointed Evans and Partners Pty Ltd as Broker to an on-market buy-back. Accordingly, Evans and Partners Pty Ltd may be restricted from giving sellers advice in respect to a sale of this security.
IMU	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has been appointed Joint Lead Manager and Joint Bookrunner to an offering of securities of the company or its affiliates, for which it will receive a fee.
LE.US	A director of E&P Financial Group Limited, the ultimate holding company of Evans and Partners Pty Ltd, is a director of Lands' End Inc.
MQG	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MXT	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
MRE	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
OFX	Evans and Partners Pty Ltd has acted as broker to an on-market buy-back for the Issuer in the last 12 months and received a fee for its services.
PGF	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
PYC	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
QRI	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
RF1	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.
WMX	E&P Capital Pty Limited, a related entity of Evans and Partners Pty Ltd, has arranged, managed or co-managed an offering of securities of the company or its affiliates in the past 12 months, for which it received a fee.

RESEARCH ANALYST CERTIFICATION

I, Sam Bradshaw and Paul D Mason, hereby certify that all views expressed in this publication reflect my personal views about the subject theme and/or relevant company securities, and no attempt has been made by any other person to influence the views or themes contained within; and I am not in receipt of inside information and this publication does not contain any inside information. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

The above certifications are provided in accordance with applicable regulatory requirements.

DISCLAIMER

Except for any liability which cannot be excluded, no E&P Group member, nor any of their respective directors, employees and agents accept any liability or responsibility whatsoever for any loss or damage of any kind, direct or indirect, arising out of the reliance on or use of all or any part of this material, or for any errors, omissions, defects or misrepresentations in the materials. The information is subject to change without notice, and the E&P Group are not under any duty to update or correct it. Additional information may be available upon request.